UNGA GROUP Plc

FULL YEAR RESULTS

The directors are pleased to announce the audited financial results for the year ended 30 June 2019.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended	30 June 2019 Shs'000	30 June 2018 Shs'000
Revenue	17,895,670	19,982,070
Operating profit	718,960	1,267,833
Finance income	62,990	116,649
Finance costs	(166,748)	(90,786)
Profit before tax	**615,202**	**1,293,696**
Tax expense	(70,388)	(510,492)
Profit for the year	**544,814**	**783,204**
Attributable to:		
Owners of the parent	**342,147**	**509,083**
Non-controlling interest	**202,667**	**274,121**
	544,814	**783,204**
Basic and diluted earnings per share (Shs)	**4.52**	**6.72**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at	30 June 2019 Shs'000	30 June 2018 Shs'000
ASSETS		
Non Current Assets	3,969,430	3,336,842
Current Assets	6,676,636	6,595,822
Total Assets	**10,646,066**	**9,932,664**
EQUITY AND LIABILITIES		
Share Capital	378,535	378,535
Share Premium	73,148	73,148
Reserves	3,587,846	3,336,208
Minority Interests	2,015,881	1,821,184
Non-Current Liabilities	1,177,048	1,244,070
Current Liabilities	3,413,608	3,079,519
Total Equity and Liabilities	**10,646,066**	**9,932,664**

CONSOLIDATED STATEMENT OF CASH FLOWS

	30 June 2019 Shs'000	30 June 2018 Shs'000
Cash generated from operations	1,362,759	(116,010)
Tax paid	(540,841)	(33,501)
Interest paid	(113,046)	(87,131)
Net cash from/(used in) operating activities	**708,872**	**(236,642)**
Net cash used in investing activities	(955,900)	(886,420)
Net cash from financing activities	10,258	492,095
Net decrease in cash and & cash equivalents	**(236,770)**	**(630,967)**
At the beginning of the period	1,088,455	1,714,755
Effects of exchange rate changes	(10,347)	4,667
At the end of period	**841,338**	**1,088,455**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs'000	Share premium Shs'000	Other Reserves Shs'000	Revenue reserve Shs'000	**Equity attributable to equity holders Shs'000**	Non-controlling interest Shs'000	**Total Sh'000**
At 1 July 2018	378,535	73,148	(31,329)	3,367,537	**3,787,891**	1,821,184	**5,609,075**
Profit for the year	-	-	-	342,147	**342,147**	202,667	**544,814**
Other comprehensive Income for the year	-	-	(14,802)	-	**(14,802)**	(7,970)	**(22,772)**
Total comprehensive income for the year	**-**	**-**	**(14,802)**	**342,147**	**327,345**	**194,697**	**522,042**
Dividend paid to shareholders	-	-	-	(75,707)	**(75,707)**	-	**(75,707)**
At 30 June 2019	**378,535**	**73,148**	**(46,131)**	**3,633,977**	**4,039,529**	**2,015,881**	**6,055,410**

COMMENTARY

The Group's sales revenue declined by 10% over prior year. Profit for the year decreased by 30%. Volumes and margins were under pressure throughout the year due to increased competition. This mainly affected the human nutrition business.

Maize grain was in short supply and highly priced in the second half of the year. To a large extent, increased raw material prices were absorbed by the animal nutrition business, which constrained margins whilst supporting volume growth.

The commissioning of a new wheat mill in Eldoret in December 2018 increased capacity and further improved production efficiencies.

The bakery business recorded a significant reduction in losses despite a 16% drop in revenues. The reduction in revenues was mainly attributable to credit risk challenges in the retail sector.

Future outlook

The high cost of maize and the availability of lower priced, regionally produced, poultry and milk imports will continue to be a challenge to the farmers' ability to realize a fair return on their production of meat, milk and eggs. This is likely to impact the animal nutrition business.

A new soybean meal plant was commissioned at the Nairobi feed plant at the end of the 2018-19 financial year; this is expected to provide raw material price improvements going forward.

With the prevailing depressed demand and increased competition in the human nutrition business, the 2019-20 financial year is expected to be difficult. In addition, fiscal measures that will increase the cost of doing business will negatively impact performance. The Board will continue to apply and monitor strategies to ensure best performance under the prevailing circumstances.

Given the prevailing challenging business environment and the capital requirements associated with execution of the Group's current business strategies, the Board recommends payment of a first and final dividend of Sh 0.50 per share (prior year Sh 1.00), subject to approval by the shareholders at the Annual General Meeting to be held on 5 December 2019. Register of Members will be closed for one day from the close of business on 5 December 2019 to the close of business on 6 December 2019.

The dividend will be paid on or about 15 January 2020 to the shareholders registered in the books of the Company at the close of business on 5 December 2019.

By order of the Board
W Jumba
Company Secretary

27 September 2019